

Trustees are typically appointed by the employer who sponsors the plan. Mutual fund families often serve as the trustees of defined contribution 401(k) plans, and they play large roles in selecting a set of funds for the participants. But mutual fund trustees have a competing interest in steering participants to their own funds. Pool, Sialm, and Stefanescu (2013) show that trustee-sponsored funds on average underperform by 3.6% compared to nontrustee funds. Trustee funds are also less likely to be removed from, and more likely to be added to, 401(k) menus. Trustee mutual fund companies tend to overweight the sponsoring company's stock—chapter 3 shows this lack of diversification hurts beneficiaries—and the way trustee funds vote in shareholder meetings depends on their sponsors' business ties.⁴⁶

Individual investors can improve governance by piggy-backing on institutional funds, who have more resources to monitor and can chastise funds by withdrawing large sums. Evans and Fahlenbrach (2012) show that retail mutual funds with institutional offerings outperform retail funds without institutional offerings by 1.5% per year.

Why do investors stick with poorly governed, poorly performing funds? One reason is taxes—but investors are generally better off paying capital gain taxes now and moving into better funds.⁴⁷ Another reason is ignorance and slow learning; it's just hard to determine whether your fund manager is failing to deliver value.

The behavioral explanations probably resonate more with individual investors. Investors might be reluctant to realize their losses (this is called the *disposition effect*).⁴⁸ And then of course hope springs eternal—maybe the fund will come back (it won't). Gennaioli, Shleifer, and Vishny (2012) argue that the relationship between a mutual fund shareholder and its advisor is like the relationship between a patient and her doctor. Investors trust mutual fund companies, and this trust does not disappear when mutual funds stumble. Managers exploit this trust, capital is sticky, and managers can keep charging high fees even when they have no skill.

3.9. SUMMARY

Tkac (2004) calls the conflicts of interest in the mutual fund industry a “permanent morass” and pays special attention to the tension between the investor as a customer of a mutual fund sold by a mutual fund company and the legal setup of the investor as owner of the mutual fund represented by a board and procuring services from the mutual fund company. But the 40-Act has eliminated the worst

⁴⁶ See Cohen and Schmidt (2009) and Davis and Kim (2007), respectively.

⁴⁷ Bergstresser and Poterba (2002) report that investors take into account taxes when investing in mutual funds. See Pástor and Stambaugh (2012) for slow (rational) learning.

⁴⁸ The term is coined by Shefrin and Statman (1985).